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Delta Air Lines, Inc. (DAL)

Investor Day

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MANAGEMENT DISCUSSION SECTION

Unverified Participant

Please welcome to the stage, Julie Stewart.

Julie Stewart

Vice President-Investor Relations & Corporate Development, Delta Air Lines, Inc.

Welcome to Delta's 2024 Investor Day. It's great to see all of you and to be back in New York. We're excited to share today about what's next for Delta. Our theme is differentiated and durable, and you'll hear that throughout the morning as we hear from our CEO, Ed Bastian; our President, Glen Hauenstein; and our CFO, Dan Janki. We'll take a short break and then we'll come back and have plenty of time for Q&A.

As a reminder, today's presentations contain forward-looking statements that represent our expectations about future events. All forward-looking statements involve risks and uncertainties that could cause the actual results to differ materially from the forward-looking statements. Factors that may cause differences are outlined in our SEC filings. Today, we'll also talk about non-GAAP financial measures. A reconciliation of those measures are available in the appendix of today's deck, which can also be found on the Investor Relations page at ir.delta.com. You have a card in front of you with a QR code linking to today's presentation and press release.

And before we get started, I just want to say thank you to the Delta Investor Relations Team and the Delta Events team for putting on such a great event. And with that, we'll kick it off with a short video.

[Video Presentation] (00:01:28-00:03:02).

Unverified Participant

Please welcome to the stage Delta CEO, Ed Bastian.

Edward Herman Bastian

Chief Executive Officer & Director, Delta Air Lines, Inc.

Well. Good morning, everyone. I appreciate you joining us, and thank you for those of you that were with us last night with Steve Squeri and the American Express team. I thought it was a great introduction into what we're talking about in terms of the quality of the product, and the service that we're offering our customers, the opportunity, and the runway ahead to continue to grow a great premium relationship.

As Julie said, differentiated and durable are the themes that you're going to hear today. And it's the strategy that we've laid out not just for the last couple of years. Candidly, we've been on this strategy for the last 15 years. Differentiation across our industry and from our industry has never been greater from our brand to the experience we provide to our customers, to the financial leadership that we've demonstrated within this industry. But we also understand that volatility is also a challenge in this industry, and differentiation gives us the opportunity to invest in durability. And that's what we're doing, and that's what we'll be announcing today as we look at the guideposts that you'll be hearing from us today.

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Volatility means building a fortress balance sheet, something that hasn't been done in this industry before. And it's something that I think when you factor in the risk premium that we face, when people ask the questions all the time, how are we going to get the multiple rerated within this space? One of the things we need to take off the table is some of the – that risk that we face. In a backdrop where the industry at large, some doing well, some not doing well, but continuing to invest in the balance sheet, continuing to pay down debt, continuing to provide a great security focus for the future is what we're thinking about.

So you're going to hear about that today. You're going to hear about these three themes as well. We're positioned to win like never before. This airline, this brand that we're seeing the momentum is strong and gaining altitude. It's a trusted consumer brand delivered by the great Delta people with 15 years of consistent strategy, investment, and execution of that strategy. Creating durability, durability are those competitive advantages that we're talking about, those enduring competitive advantages, the moats that we have, and the diversity of the revenue streams that we create. And all that feeds into value creation and how we take this airline and continue to knock off the risk and continue to provide a safe and sustainable value return for our owners.

Now, this slide should look familiar. It's a slide I've used on, I think, virtually every investor presentation I've made for the last at least 10 years. And these are our moats. And these are the same moats that we talk about all the time. Only every year we go on, the moats just continue to get stronger, and they get deeper, and they're more enduring. It's having the very best people. The most important thing in this business are not the planes, it's not the destinations, it's not the airports as fancy and interesting as they are. It's the quality of service. I hear from customers all day long, every day about everything in this business, they always tell me the most important thing we do are none of those. It's the people. It's the people that bring this airline to life with the culture and the best-in-class service that they provide. The operational reliability, the on-time machine is that unmatched global network that we continue to invest in over time. It's the brand that we've created, whether it's with the loyalty with American Express or the Net Promoter Scores that our customers tell us on board the plane.

And finally, there's the financial discipline, and the cost discipline, and that balance sheet focus continue to get the balance sheet in good order. These are our strategy – this is our strategy. These – these are – while they're our moats, they're also our strategies. And the one thing that I'm struck by as I look in this post-COVID era of the airline industry, is that just about every airline in our space has changed their strategies post-COVID, whether it's trying to add more premium, trying to move differently internationally, or moving geographically in different spots. Delta is the only airline that hasn't changed the strategy. This is the same slide we used 10 years ago. It's the same slide we're using today. So, it tells you about the alignment within the company. It tells you about the consistency of follow through in execution. And this tells you why we're going to continue to gain momentum. And you're continuing to look around and continuing to try to go where others aren't, that's tough in this business.

When you have a strategy that's well articulated and well defined from the top of the company all the way through to the front line employees execute against it, that's what we're doing. And there's 15 years of investment that sit underneath that. I get questions all the time. Are we worried about other airlines trying to go into premium space and trying to catch up to us? I said if I were them, I do the same thing. That's where the money is, right. But when you think about the investments we've made in the airports, modernizing our fleet, our technology, our free Wi-Fi, the international investments and, of course, the most important investments we've made are in our people, it's a tough space. And you got to do all that before you become a premium airline.

Now, we were here with our three-year plan in New York in 2021. That was the last time we've talked about a long range plan. And I think about that day, and many of you were with us in the room. That day was on the New York Stock Exchange. We were starting to learn about this thing called Omicron that was coming, which was the new

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variant of the COVID virus. In fact, half of you were sitting there with masks, listening in. We probably had space set aside in that room, and many people weren't even sure whether it was okay to be there, as we were talking about it. And we were laying out a three-year plan, and we got a lot of kudos for being bold and courageous with all the unknowns that were ahead of us. And I'm impressed with how well we did in forecasting that three-year journey that we've been on. We said we're – the three priorities are going to be to deliver the best-in-class operations. We did that. Reliability has led the industry through that period. And we'll talk about that in a minute.

We're going to strengthen the brand, and the customer experience, and the focus experience and the focus that we had in the people, in the technologies, the airports. We actually used the period of time during COVID to accelerate progress with all those investments. A lot of traffic and the volumes were down. We got LaGuardia finished. We got Salt Lake City finished. We got LA finished ahead of schedule. We got the new Delta One Lounges open. We got a Wi-Fi that works that's now free aboard the planes. All of that stuff can – I'm not sure we'd still be there today had COVID not interrupted the journey. We knew we were going to get through and we had the alignment of strategy, so we put the pedal to the metal and we went and here we are today. And we said that we were going to restore our financial performance.

Remember, in 2021, we're still losing a lot of money. And we told you that by the time we got to 2024 that we expected our earnings per share to be $7 a share or more. Well, we've missed it slightly. We're going to come in with CrowdStrike adjusted at about $6.50 this year, but pretty darn close to what we thought we'd do. And so, again, that's just another proof point on durability, predictability, and continuing to restore the strength of this business.

The other thing that's interesting during this period of time is that we've generated between 40% to 50% of overall industry profits despite only having 20% of the market share in the industry. That same statistic in the three years prior to COVID from 2017 to 2019, we still were about 20% of the market share, but we had 30% of the profitability. So, we gained significant profit, profitable market share during this period of time, which also tells you that we moved faster than anyone else did.

Our people are the reason our brand shines. This is a brand that transcends the industry. And when you think about the reliability and the service excellence that they provide, it's a cut above. We talk about our awards all the time. And while I'm sure some of our competitors in the industry are tired about hearing about our awards, but we never get tired of winning them. Including just earlier this week, Business Travel News naming us for the 14th year in a row the Number One airline for business travel. It's our most profitable, most important sector that we provide. And 14 years in a row that we've won that. That takes – that takes a lot of time. But it takes a lot of continued investment and sustained excellence as we continue to push ahead.

Fortune magazine earlier this year named us the 11th Most Admired Company within their rankings. And that's, again, an airline as the number – I don't think airlines are typically in the top of the Fortune Most Admired List, and especially airlines coming through COVID. And of course, the Air Transport World named us the Global Airline of the Year in 2024.

But all of that is not possible if it wasn't for our people and it wasn't for the experience we provide. When we talk about transcending the industry, what does that mean? That means that we don't think about us being solely a transportation provider. We're about the experience and it's the experience that people think about Delta. It's not the transportation, it's the experience. And we think about all that goes into creating a great experience. That's what keeps people flying us. And when you think about that, that's also the value that gets created.

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From a unit revenue premium, Glen will talk about the revenues and where we are on that score. We're sitting today at 114 index versus the industry. When we started this journey back 15 years ago, we were about 104. So, we've gained 10 points of overall revenue premium to the industry over the course of this journey, and we're continuing to climb as we move forward.

If you ask why Delta's financial leadership in the industry, in the position we sit, is as strong as it is, it's because of this revenue premium. It's because the great work that our people doing. It's our Net Promoter Scores. That unit revenue premium trends is because customers prefer Delta more than ever before. And we use an independent consultancy, a large name that all of you know, to track and measure the Net Promoter Scores across the industry. Many of us subscribe to the same one. Delta's 26 points higher than our main network competitors, our Net Promoter Score. That's a direct reflection of the unit revenue premium and strength that we have.

And you heard last night from Steve Squeri, the health of our co-brand card and the spend that we have is an approximated 1% of the entire US GDP going on at the Delta American Express card. Very, very powerful. And we continue to gain as we move forward.

So, we're entering the new year and the plan year we're talking about are kind of a three to five-year look with a backdrop that's as healthy as anything I've seen in my 26 years in this industry. And some of you have been around a lot longer than that. And I daresay everyone could probably make the same perspective. And we're uniquely positioned to capitalize on the secular trends that we see that's continuing to invest in consumer and travel.

Our consumer is in a good spot. Our consumer is healthy. And we've been asked the question many times over the last couple of years is when is the consumer going to be fatigued? Our consumers are not fatigued. Our consumer loves the experience of travel and wants more and we'll talk about that in a minute. The demand that we see across all of our sectors, whether it's for the premium product, which is leading all other products and service, whether it's for corporate that continues to climb in the mid-single digits year over year over year. And we're well beyond where we were in 2019 and we're continuing to grow and international travel is expanding. I think that's the one, if I would say, surprise, a behavioral change that I've seen is that continued health and growth of international travel. Glen will talk about that. That's something that I think that you're going to see that's going to be enduring.

And this secular growth that we've seen in travel is across all generations. This is not only, those that are on the baby boomers that are wanting to go out, and had to sit home for a couple of years during COVID, and were afraid they'd never get back out, and the revenge travel aspect. It's actually happening with millennials more than ever, and Gen Z, we have all segments of our marketplace looking for that experience.

And the accelerated pace of change that we see across our landscape, particularly in the domestic space, but the – on the low cost side is also helping produce healthier returns. And, as our overall industry's health improves, Delta being the top performer in that industry, will improve at least as much, if not more. So, this is why we have a pretty healthy outlook for the year ahead.

That premium consumer is doing well. This is a chart that we showed a year ago and that tracked the amount of wealth that our consumers defined as household earning $100,000 or more annually created. Households with earnings of $100,000 annually or more make up about 40% of overall US households, and also 75% of overall travel spend. And, since Delta is a premium traveler, obviously, our numbers are much higher than 75%. I'd say, that number is probably closer to 90% of our travel is coming from households in this cohort.

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Just since we last were together, last summer in Atlanta, that cohort generated an incremental $10 trillion of wealth, just in the last 15 months. And so, when you ask us, does your consumer fatigue? Our consumer's not fatigued. Our consumer continues to have wealth that they can invest. And when we talk to them of what their highest priority is, it is travel. It's not – I was on Squawk Box this morning and we were asked target seeing a big drop in saying the consumer's fatigued. Well, the consumer isn't going to travel. The consumer is not here if the consumer is over in Europe. The consumer is moving. Consumers are investing in experiences rather than goods, and that trend continues to accelerate.

And within the cohorts, the cohort that's moving the fastest are millennials. We've heard this from Steve Squeri last night. He talked a lot about the work that American Express is doing in terms of being very focused on the younger demographic and the younger generation and we're right alongside them, helping them, them helping us to make certain that we understand that.

This is a chart that looks at where millennials are at their point in wealth creation compared to where Gen X was or some of us older boomers were at a comparable age. And this is inflation adjusted so these are real numbers. Today's millennials have 36% greater wealth than Gen X had back when they were in that same age range, or boomers had, 20% higher than boomers had. So, real wealth. This is not – this is all inflation adjusted. So, our millennials not only have the desire more than ever and capability, but they also have the execution and they are the fastest growing generation and air travel spend across all generations are growing by three points to four points across any other spend category.

So, we're positioned to win. We have a lot of tailwind that we're going to continue to capitalize on. These are the three long-term strategies that we have internally within Delta. It's to elevate the world's best airline. Keep Climbing is not just our tagline. Keep Climbing is not just our tagline. Keep climbing is what we do every single day. We know there's improvements we continue to make in operational execution, and our technology transformation in our network and our fleet to continue to get better is to unlock the value of that brand with our consumers. And that experience and choice that we know that they have, increasingly, we want to make sure they're staying very loyal to the brand.

And we're working and spending a lot of time on personalization to make sure that we understand our consumers as to where they're at, to continue to help them on their journey. And then, of course, for investors to deliver sustained value creation as margin expansion, that's the durability of our earnings and free cash flow and the ability to continue to reduce our leverage and increase returns.

I'm going to spend a few minutes on the first one of those. And Glen and Dan will cover the other two pillars.

Operational excellence is what we're known for. We took on the title about 10 years ago of the On-Time Machine and I promise you, we're never going to give it back. And this is a picture of what it looks like over that 10-year journey. 9 years out of the last 10 years, we've been the network leader in completion factor. And this is the cumulative period that you can see significant. And while the numbers may seem small, 98% versus 97%, just think over 10 years, the millions of additional cancellations the other guys have had that we haven't had. We're on-time which customers other than completion on-time is the second most important metric that we measure, a substantial and healthy improvement and growth over the competition over the last 10 years.

That reliability is the foundation for our efficiency, the focus that we have in continuing to take good care of our customers, gives us, and allows us the freedom to be able to invest in premium with them. You can't be a premium provider in this industry if you're not providing the core foundation. This is why we've had the ability to

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build premium on top of this. Our people are happier for getting our customers where they need to go. And so, the premium offerings we've had have been easy to layer in on top.

And there's a tremendous amount of capability to continue to improve that through technology. We made some pretty healthy investments over the course of COVID to move the majority of our technology infrastructure to the cloud with AWS. And we're just about at the end of that journey with that completed. It's going to drive a lot of agility, that's going to drive a lot of speed, a lot of efficiency for our ability to continue to not just provide stability to our infrastructure, but it's also going to allow us to continue to change, and move faster than others. Our platforms are modernized. Our software is continuing to get better, and it's also allowed for the integration of many of the new AI and data analytics tools that you hear a lot about.

Personally, with AI, we all know there's a lot of hype around AI, and it's something that we all look at and wonder, just, is it going to live up to the promise. I think AI is going to be incredible in terms of its impact on our business, but it's only going to be incredible if we're prepared to actually use the power, to harness the power. And I would say at Delta, our focus on AI is to learn, and to listen, and to make certain that we're ready before we jump in with both feet. And these are the three areas where we're applying that.

We think there's great opportunity in delivering a more reliable operation to our customers. When you think about Delta, and you think about the 5,000 flights a day that operate in all kinds of weather conditions, with all kinds of variables, with staffing coming from all over the world, it's a Rubik's Cube every single day, and you're trying to optimize and get the best answer.

The power of that technology, again, when implemented properly with the proper foundation, is going to give us better answers for our crew. It's going to make reliable schedules for our crew members and easier to track. It's going to make better decisions, better informed decisions than one can sit at a screen and try to figure out how we're going to make these connections, and which flight should be the priority. Tremendous, tremendous promise in this area. That's one of the three platforms we're working on in terms of new technology, new digital and new AI capabilities.

The connected experience digitally for our customers, you all see, as I know many of you are Delta customers, you see where we're going with Delta Sync, and free Wi-Fi onboard, and the login experience that you have. One of our analysts last night told me they sat down on the plane recently and it popped up on the screen, happy birthday, right?

I mean, that's pretty cool. I mean, it's kind of a small thing, but it tells us that we're connecting with you and it's inviting you into the journey and getting more information and more insight as to how we can better serve you. We're in the early, early stages of this. The new technologies and the new AI platforms are going to help us along those lines.

And, finally, it's going to allow us to figure out how we can drive the optimal revenue premium. Glen is going to talk about this but, when you have a brand that customers that are telling you, this is a plus 26-point advantage versus your network competitors, but your revenue premium is plus 14 points, is there opportunity to do better? I think there might be.

And, we're looking at that, but it's going to take new technologies. It's not going to take us trying harder, it's going to be try and trying to think differently about how we price, and how we revenue manage it.

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Those are the three platforms that we are investing, and spending time, and staying very focused. And anyone that brings me an AI project within Delta, one that sits in of these three, well, we're just not doing it right now because this is where – this is where the opportunity sits.

So what does this all mean? This is the framework we're thinking about for the next three years to five years on our journey. And I think that these are – these are the important metrics that you all care about. Margin expansion, today, we're sitting at somewhere between 11% and 12% operating margin. Our goal over this next three years to five years is to steadily grow that sustainably into the mid-teens.

The durability of our earnings and free cash flow, we expect our EPS growth to grow at a double-digit level on average over the next five years. It doesn't mean every single year it's going to be at 10%, maybe some years it'll be higher, maybe some years it'll be lower. That's the airline industry. But we're going to continue over time to track towards that 10% annual EPS growth.

And for those tracking, we're starting with this year in 2024 adjusted already for CrowdStrike. So, our numbers will be pretty much $6.50, which is the range we're sitting in adjusted for CrowdStrike on the current year guidance. And at the same time generate between $3 billion to $5 billion per year of free cash flow.

And we look to get our balance sheet down to 1 times gross leverage. Today, we're sitting a little over 2.6 times, 2.7 times in that range. We think over the next two years to three years we can get to that 1 point – excuse me 1 times gross leverage. And at that point we absolutely are a fortress balance sheet because it's not only that gross leverage, which is meaningfully better than anything this industry has seen, certainly at our scale, but it's also supported by over $40 billion of unencumbered assets and a 15% return on invested capital. So, this is the framework as to how we're thinking about for the next three years to five years.

And of course, we're going to continue to stay very balanced in our capital allocations and returns. We're expecting on average to generate about $10 billion of operating cash per year over the next five years. Just think about that, $50 billion. Today, we're somewhere between $8 billion and $9 billion of our operating cash. And so, it's – we're already starting to get into that zip code. And when you think about putting 50% of that back into product, back into higher quality service, back into modernization of our fleet, back into our lounge system, back into our technology platforms and still have opportunity to put 50% or another $25 billion to continue to reduce our gross debt. Our gross debt today is $26 billion. And if we wanted to, we could bring our gross debt to zero with this model over the next five years. I'm not suggesting that. I know, I'm a hawk ensuring to get that debt pay down, but we're going to make some pretty good headway. But getting to this model will leave availability for excess cash at the end of our – once we start getting closer to this range, we decide to go down in that direction.

So that's the overview of where we're sitting for the year. We feel very good about how we're closing the year out. I feel very good about the fact that we're delivering a profit target this year, even with CrowdStrike, even with some of the geopolitical challenges we've had, even with some of the weather issues, even with the amount of instability there was in the domestic supply earlier this year, with a profit number that's pretty much on par with where we had last year. And as we think about 2025 and we think about the year ahead, we think about hitting our 100th anniversary. We're very determined here and we think we're very sound in our thinking that 2025 is going to be the best year in Delta's history. So, I thank you for joining us today.

And at this point, I'd like to introduce and bring up our President, who now has to go deliver against all this stuff, Glen Hauenstein.

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Glen William Hauenstein

President, Delta Air Lines, Inc.

Well, good morning, everybody, and thanks so much for being here with us this morning. We really appreciate it, we appreciate your support of Delta over the years. We've been on a long journey here and it's so nice to be able to stand up in front of you, as we close out this year and head into next year and talk about how excited we are about our 100th year. Our 100th year is going to be, I think our best year ever, as Ed said. And the setup is really great.

I think when you look at what we're seeing in terms of industry capacity, in terms of competitive environment, I think we're putting it into words. We've seen a real separation, we've seen the separation of the carriers that are serving premium products, premium quality, higher quality products, separate their margins and separate from carriers that are solely concerned with price. And I think, we saw this many years ago and we went on a journey, we went on a journey to decommoditize the airline space. And Ed was a huge supporter of that back 10 or 15 year – well 15-plus years ago now. And I think, there were no proof points. There were no proof points to say that this was going to work. So – but we knew inherently that people wanted higher quality products.

And to take that risk on and to make all the investments and all of the infrastructure that we have done. And I'll hit that in the presentation here, it's really been a great gratification, I think for the entire commercial team and the entire airline to see that we have separated ourselves out as we head out of 2024 and into 2025. So, a little bit about the 2024. We're closing out right where we thought we would. Very good holidays ahead of us, we've got our number one revenue day in our 100-year history is going to be a week from Sunday. The Sunday after Thanksgiving. A little interesting side note there is that coming back from COVID, the return trips for Thanksgiving get spread out and now they're back to where they were pre-COVID with a very high concentration of people needing to be back in the office on Monday. So I think we're seeing the manifestation of back into the office as it relates to airline travel.

And really well-positioned as we sit here, as we look into January and beyond. I think that's what's got us really excited here is that we knew during this year that the industry had a little bit of too much capacity. And this was really, I believe, a function of after COVID, we couldn't get our planes in the sky fast enough and nobody saw where this was going to end. So, everybody kept going and going and going. And if you remember those cartoons, where the character goes over the cliff and it realizes all of a sudden that there's nothing below it and then falls down really fast. I think that's what the industry kind of did here, as we headed out of COVID and back into a more normalized environment. We couldn't get the planes in the sky fast enough and now we're in the position where there is an equilibrium and a balance between capacity and demand.

The manifestation of that cliff was earlier in the year when we had industry seats of domestically eight and the industry just didn't track that demand which had, of course a very negative impact on unit revenues. But more interestingly I think a very different impact on the carriers that were supplying premium products and services which had a little bit of a downdraft versus those who were just focused on price that had an incredible cliff to fall off of. And I think, again we've seen that manifests itself in the bankruptcy we saw filed this week

So, as we head out of this year, we're looking at a very, very encouraging first quarter. First quarter is always our most challenging quarter. Advanced bookings are really, really solid. Yields are strong and – both domestically and internationally. We're seeing probably our best unit revenues on the Transatlantic, for example, in the dead of winter. So, really great setup as we think about where we're heading into the spring and summer for peak season.

I want to talk a little bit about our brand, because at its core – at our core, everything revolves around this brand. And it's been that reinvestment into the brand and into our people and into the facilities and into the infrastructure

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and into the experience that I really think has paid dividends. And not only in financial, but if you think about our ability to recruit top talent, if you think across the entire spectrum of our ability to position ourselves well enough for today, but for tomorrow and for five years from now.

So, continually investing back in the customer experience, I think you saw our friends in at Amex talk a lot about that last night is. Two things, one is when you think you're done, you know, you're not. And I think keeping us humble, keeping us thinking that we don't know the answer, and we're going to continue to make investments, we're going to continue to experiment with the customer experience, growing our loyalty and revenue. That's been a meteoric rise. And we're continuing our $10 billion – I'll get to that in a few minutes. And then engaging customers beyond the flight. This brand is very powerful. And it's very powerful in the travel space and travel adjacent spaces. And how do we continue to expand the reach of our brand and to partners not only in the airline business, but sitting in the adjacent travel space and even beyond that. So, a little bit more about how we're going to do that over the next few years coming up, let's see.

I want to talk a lot investing in elevated experience. I think Ed touched on this a little bit is, if you wanted to be Delta, where would you start? And this is really where I think when I get up in the morning, I think, if I was sitting in a company that wanted to be Delta, what would you have to do? And whether you think about on time and reliability or the best culture in the business or whether you think about the app or whether you think about the generational airports that we have invested. These are really I think, the long-term moats that we have. And when you think about where would you start, I think it's a daunting challenge.

I would just take one and that would be operational, because I think operationally you could say to yourself. Hey, look, I want to do whatever it costs to being the number one in terms of operations. But there's going to be a tremendous cost at the upfront on that and the payoff doesn't come for years and years and years. And that's just one of the moats that we have that says year after year after year, Delta is best-in-class, in terms of operational performance. How are you going to beat that perception in the mind? It will take an inordinate amount of money and it would take an inordinate amount of time and that's just one of the small moats.

So the generational airport investments, I'm going to talk a little bit about. During COVID, as Ed said, we added $13.5 billion of generational airport. And two things there. One is, we financed them at very low rates and two is those are now behind us, while some of our competitors are facing enormous and inflated at higher interest rate investments that are going to come into their portfolio. So, this is in our run rate P&L in 2025 and beyond. And what I like to say about airports is the most expensive day is the day they open.

And over time, the value of money goes down and over time the employments go up. So, we've made those investments in our P&L and those are going to be the ability to continue to grow over the next 20 years. We have made that payment in advance and that's now embedded in our P&L. Most comprehensive lounge network. We continue, we have opened two Delta One Lounges. By show of hands, anybody been to One? Well, good. Well, if you haven't, I highly recommend you buy a Delta One seat and check it out, they are in JFK and LA, soon coming to Boston. That will open the first two weeks of December and then early next year into Seattle.

And over the next – between now and 2030, we'll have them in all of our interior hubs as well, but all the major coastal gateways already have or will have them in the next six to nine months. And very excited about the initial results of that. Of course, these are big investments we make and we make them based on long-term value. And what we've seen already is a huge uptick, not only in terms of the average ticket value, but in terms of the share we are taking in New York to Europe in the high-end marketplace of Delta One.

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Seamless and personalized experiences at scale. I'm going to get to that in more detail in a few minutes, but this is really where the whole industry is going and I think we're continuing to lead here. When you think about our ability to retail, we have to be better and better at retailing. You go back, and I have a slide later about the history of this, but how did you buy tickets 20, 25 years ago? You went to a travel agent. They looked at a green screen, 90% of the tickets were sold on the first line, first screen and the industry's job was to try and get themselves positioned in first line, first screen. That has totally changed, right? The way we sell our products and services over the last 25 years has flipped more than anything because now we're able to describe an experience and being able to not only create it, And being able to not only create it, but describe it to customers and sell it and retail it is really the frontier that I think we've been really leading and will continue to lead over the next three to five years.

Growing the value of membership engagement, of course, our Amex relationship, one of the most important, I think. Well, certainly the most important to us, but one of the most important in all of the credit card business and one that's continuing to grow at a very accelerated rate. Premium products and customer choice. If you think about a widebody flight to Europe and I'm sure most of you have been on a widebody flight to Europe. When you think just 10 years ago where we were, we had two products. We had a Delta One product which the commitment was flat-bed seat and direct aisle access and we had coach and that was it.

So it was either a very high-end product or a very basic product. And the way we've been able to segment that and if you think about a widebody today. You have Delta One, you have Delta Premium Select, you have Delta Comfort+. You have Delta main cabin and you have Delta basic economy. And the ability to retail that diversity and try and suit the product with the actual customer needs is a journey that I think this industry and Delta leads, but continues to evolve. Again this journey has been a long time in the making. And if you go back to 2010 and before, you think about our challenge and I think this is unsung hero in our evolution is that the biggest loss leader on the airplane in 2010 and before were the premium products. Because we didn't sell them, we gave them away. And we gave them away based on – based on a frequent flyer system that was based on miles, not dollar spend. And so the incentive was to spend at least as possible, fly as long as possible and get as upgraded as often as possible.

That led to a position where the, our most valued products where the biggest loss leaders. And you really, you think about that when we sat up here 10 years or 15 years ago, when we said, we're going to change that over time, believe us, we will. And here we are 15 years later, where the premium products on our airplanes are the highest margins by far and they go in descending order, which is exactly where you want.

So you have, Delta One, Delta Premium Select for domestic first, Delta Comfort+, Delta Main Cabin and Delta Basic. That gives you an incredible amount of flexibility to continue to invest. Because I always tell the team, we have, I think the best commercial team in the business. But I always say, if you're a good business person and you have something that's losing money, do you want to produce more of it or less of it over time? And of course, the answer is less. So when we had our first class product, what did we want to do? Because it was such a big loss leader, we wanted to risk less of it. And I think you saw the whole industry, whether it was – what Delta did with Song [ph] or we'll (00:42:40) get rid of the premium products because they're not making any money, instead of reengineering the whole thing. And this has been a reengineering process that has been 15 years in the making.

So a little quiz question for you is our domestic paid first class – our domestic first class load factor is 92%, 15 years ago it was 92%. So the question is, 15 years ago, what percent actually paid? Anybody got any ideas? [ph] 15%, 11% (00:43:07). Okay, you win It was 12%. But if you even dissected that, 6 points of that were domestic portion of international journey for those of you who know what that is and I know you do Jamie is that that was

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people who were buying business class on the international flight who also qualified to have a domestic first class flight. So really, we only sold about 6 points of that 92% paid load factor.

Today, we're sitting right around 75%, still 92% paid load factor with 12 points going to upgrades. But what we found is that the customers wanted to buy those products. We had just made them unavailable as an industry. We were charging 13 times more than the average coach seat at the time of booking. So we brought that separation way down, we've made them much more affordable. And guess what, when you make something affordable, people want to buy it. And they saw value in it. So, we have an incredible intent to repurchase 85% of people who are sitting in premium products want to stay there. And I think this is really interesting, when you think about the psyche of the consumer. And I equate this to when I was a kid. How many of you had a luxury car as your first car? Okay, I see no hands. Oh, wait. Silver spoon. Silver spoon, dad bought me a Porsche. But most of us did not, most of us started with, I'd say, clunkers. I'll admit my first car was a 1966 Rambler. Many of you don't even know what a Rambler is, that's how old I am.

But – you do. But I keep buying better cars. I remember the first nice car I got and how it made me feel and how it made me – and then I think I've kept buying nice cars. I don't go back – I don't see a clunker in my future. And I feel that this is really the psyche that people have. And what we've garnered from all this now years of experience with these premium products is once people are flying in them, they tend to not go back. So – and there's a life cycle, the life cycle starts when you're young and fares were the only thing that matters. And then as you get older and you can afford more and want more and it's really been enlightening to unlock this life cycle of a customer and understand them. And what I think is so exciting, a better future, as Ed pointed out, is the millennials and how strong the Delta brand has been over the last 10 years to attract the best millennials.

And so, as we think about our future moving forward, as these continue to mature out and I'm a boomer and over the next 15 or 20 years, our boomer sales will be declining at a very rapid rate, unfortunately. But what's exciting is what's coming up. And what's coming up is even richer than what's leaving, not only richer, in terms of the demographics that Ed pointed out, but in terms of our share of that wallet today. So a really exciting future as we look forward here.

This is all about premium continuing on our journey. Growing premium seat mix, one of the things we said and I think a lot of you had ask this, when we started this journey many years back is will – are you going to create more of this inventory? Are you going to create more seats on the airplane? And our line back at that time was – our first line of defense is to get a really good basis of what pricing and inventory management can do. And then when we're done playing with those dials, we'll continue to look at whether or not we need to increase the seating capacity on existing airplanes.

And so, I think now with five or seven years of this, we have enough data to suggest that, yes we do have airplanes that need more premium seating. And so, we've started reconfigurations, for example, of the A350-900s to a much higher premium mix. We are also starting our domestic increasing Comfort+ and access to Comfort+. So we'll be increasing that significantly on existing fleets and doing that all without changing the total number of seats on an airplane. So well, in the case of the widebody we are, we will be decreasing it; but on the case of the mainline narrowbodies, we won't be decreasing it.

And I think, this is going to unlock the next tier of value. One of the things, I think if you shop on Delta often and hopefully most of you do, you'll see that Comfort+ is sold out more often than not. And so we're going to work on changing that as we move forward here by increasing the number of seats there. And continuing to align the value to the price, I'm going to talk about that a little bit more on my next slide. But if you think about the way pricing, airline pricing is, a traditional airline pricing has been done, I call it punitive and punitive in, when do you charge

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more for a seat, we charge more for a seat, when we're running out of inventory or when we've identified that you are a time-sensitive customer by certain fencing requirements that we put in into the ticket rolls.

So when you think about that, you think, well the best customers are generally later in the booking curve and they're generally getting the leftover inventory and is that really value? And so, as we think about are we going to be able, in this new retailing environment to create a better value proposition for our customers where, if you're paying more, you feel like you're getting more. And that's a concept that I think is not unique to the airlines, it's just general great business, but the airlines have kind of been the outlier here, as you think about it, is that our pricing structures have been more punitive than value-based and we're going to continue to take the journey to make it more value-based as we move forward.

And then, optimize through technology, Ed talked about AI. We are really excited about AI. I have another slide that I'm going to get to in a minute here, talking about where we are on that journey. But it's the beginning of a journey and it's going to take many years for us to realize the full value of it. But I think where we're sitting today is, we're at the very beginning stages and we're a leader in this. Customers with choice. If you think about the choices that they had back in 2010, coach first or business class, now we've got all these different cabins on the airplane. But we really think that there's another way to segment them. And I'm going to just call it out and I'm going to say, first of all, we're experimenting with this. I'm not announcing anything today. But if you said within each one of these categories, there are people who have different needs and you said kind of a good product, a better product and a best product. Could we invent subcategories of each one of these products that had more value? So, you take Comfort+. And I think this is going to be an iterative process for us. We're going to test and learn along the way, but we're going to start from the bottom up.

So in 2025, we're going to try some segmenting, some additional segmenting the main cabin. We really already have it with basic and main, but do we have kind of a best in that category, which we don't really have. So, if we put a best in that category and then we thought, well, Comfort+, there's no good, better, best there. Could we start introducing that? And I think over the next couple of years you'll see us attempting and really testing with what consumers want in their bundles and what they're willing to pay for. So, taking each one of these physical and then putting on additional attributes to say, I know if I pay more, I get more. And that's really the way I think good retailers work and the way airlines have not and the way that we're going to transform ourselves over the next three to five years.

Right offer, right time and right channel. And there's been a lot of talk about this I think in the industry, where all kinds of new contribution capability is coming online. But what we're really trying to do is to get inside the mind of our consumer and present them relevant, something that's relevant to them at the right time with the right price. And I'm going to start on the right side with optimized offers. This is something I'm really, really excited about. Generative AI, we've partnered with a company called Fetcherr out of Israel. And we've now been working with them for, I'd say the better part of a year. And we've got them – we've got about 1% of our network currently being priced by the Fetcherr team. And this is again a full reengineering of how we price and how we will be pricing in the future. And if you think about it today, there are two disciplines. There is pricing, which sets the price points and then there's revenue management, which controls access into the inventory of those price points.

And over time, we think this is going to get melded together, that it's going to be really just offer management. That we will have a price that's available on that flight, on that time to you, the individual. Not a machine that's doing an accept reject and a static price grid. We've started this and I'd say what we have today with AI is we have a super analyst. We have an analyst that's working 24/7a day, 24 hours a day, 7 days a week. And trying to simulate, given the same inputs that an analyst sees today, real-time what should the price points be. And that output is different than what we have in market. And so, we're letting the machine tell us actually go ahead and

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price in a very controlled environment, it's going to be a multiyear, multi-step process as we continue to learn, innovate, teach the machine, change the business process, but the initial results show amazingly favorable unit revenues versus the beta.

And so, we're all in on this. We're very excited about it, but we want to be really smart about it because it could also be very dangerous, if it's not controlled and it's not done correctly. And we do think there's a first-mover advantage. And we do believe that we are ahead of our competitors in terms of implementing this and in changing our business processes and rules around it. Better user experience, simplifying the purchasing process. And I think, I shop on different carriers all the time just to see how carriers are shopping. And I think ours is – and I don't know if any of you do in this room, but I think our process is really clean versus some of the other ones where I feel like I'm going to a Turkish bazaar on the way out the door. When you stand in line at the retailer and there's the gum and this and that, it's cluttered. There's a lot of stuff and what we want to really do is we want to create trust between the consumer and the brand. And trust means, I understand what I'm buying and I get consistency in that.

And so, we continue to improve our customer experience so that they can see what they're buying. We give them clean choices and we don't give them too many choices. We give them the right number of choices. And then improve distribution. I think this was really underestimated when we started our journey of trying to sell premium products. The industry was not ready to sell them. The way they were being distributed, and we've made a lot of progress over the last years in terms of continuing to work with our suppliers, our OBTs, our GESs, our OTAs to improve the way people see Delta's products and services and make them more like consumer retailing. And a long journey, one of our competitors went out, really pushed new distribution. We are very enthusiastic about new distribution, but we want it to be something that people want, not people are forced to do. So exciting journey we have ahead of us there as well.

Personalized and seamless experiences, we put a lot of effort into this, and we have a long way to go. This is really, one of our partners has this great tagline, which I'm going to steal, its hospitality in your hand. And when you think about it, that's what we're really trying to do. We're trying to let you do anything that we could do. And this has been really an interesting journey for us, because we've had to – this is 100 year old company. We have 100 years of rules. And so, to go through with our teams and look at all the rules, all the ticketing rules, all the rules that we self-imposed on ourselves and say, which ones do we really need? And what we found even internally is that they weren't even standard. We might have had a different rule that ACS had, or airport customer service had and then RES had.

So I think one of the great lines, it was the minimum age of a pet, and one was 12 weeks, and one was 10 weeks. And so identifying all those because streamlining that makes it a lot easier to program and getting to the right answer. One click, one click to do what I want to do. One version of the truth. There's not six different answers from who you call or – and really getting that standardized, so that we can put as much easy to use information and options in our customer's hand that our RES agents have. And if we make it easier for our customers, it's going to be even easier for a RES agent.

So this is a journey we're on, where I think, we're middle of the tier here. We got a long ways to go. But every year, you're going to see us getting better and better and better at that. And more and more, you'll have hospitality in your hand, where you're controlling your entire trip from start to finish from your head – from your app. And of course, transitioning to the cloud accelerates our ability to do that. And we're very excited, because one of the things that Ed didn't mention is that during the cloud migration, there was a lot of focus on that. Now that we're at the end stages of that, we can redirect to really implementing some of these changes that we have in the queue that have been kind of sitting, waiting for the cloud to be fully migrated.

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Growing brand loyalty, again, Dwight and his team, I think have done an amazing job. This year, we will acquire over 1 million new cards again. I think that's five years in a row. And growing our card spend at 20% to 30% above the industry continually, and as even as the card portfolio gets bigger and bigger and bigger. So why is this so important? This is really – our loyalty program is a manifestation of our brand. People who are involved in our loyalty program spend 5 times more on Delta. Our new members are younger and more engaged. And I think this is really interesting because this is one of the side benefits of free Wi-Fi is getting all of those young people to sign up. And now, we know who you are. We can market to you. We can take you along the life cycle journey with us. And so, really exciting opportunities there.

Growing our premium preferences and increasing the ecosystem. Of course, partnering with people like Starbucks, and continuing, I think Ed talked about CES. We have some exciting new partnerships, so stay tuned for new partnerships that will be launched as we head into CES.

And this is our tag to $7 billion – from $7 billion to $10 billion. And I think when we were in 2010 and we were $2 billion and we put these big markers out there. It was impossible for us to think about how. And you think about it, I think in some ways, the limbo bar has gone up a little bit because getting from $7 billion to $10 billion seems a lot easier for getting from $2 billion to $7 billion. And the things that we put in place, the way we market to our customer, the way we bring them into our ecosystem, the way we get them to download the app, the way we get them into the Delta system, and then allow, as you continue to mature, say, I see why I'm getting so much value from Delta. I probably need to get that card. And that card, if you don't have it, is an amazing way to continue to accelerate your journey on Delta.

So we talked yesterday a lot in our meeting with Amex about these cards and are there even more aspirational cards? And I think that was a great takeaway to say, okay, we've got the Reserve card out there, but is there even a better card? So we'll put our thinking caps on that. Never stay satisfied. And that's I think one of the hallmarks of Delta and keep climbing.

And lastly, engaging our customers beyond the flight. This is something I'm very excited about. With very little effort, we've increased our sales on travel-adjacent spaces by over 70% year-over-year. And as we continue to get better at this retailing, as we continue to get better about understanding what our customers want and continue to provide SkyMiles as our way to distribute value, I think we're going to find more and more opportunities to expand this and grow it at a disproportionate rate, at a very low capital, incremental capital. So again, stay tuned on this, but this is something I think we've made great progress on. Contribution now is still pretty nascent, 100-and-some-odd million dollars a year, but it's growing at a very rapid clip. And I think this is going to be a really important journey of ours as we continue to move forward.

Delivering high margin revenue growth, I talked about this in its components, but then kind of putting it all together, where do we think we are on this journey? And I think this is something we didn't do. We didn't really think about selling premium products 15 or 20 years ago. And this continued change in the psyche of selling an experience and what does it take to sell that experience and what do customers really want? And so what are we bring to market? Things like Delta One, things like continuing to invest in Delta Premium Select. I think this is really something that we are still just scratching the surfaces on. And as these millennials continue to age and the population becomes bigger and bigger and the wealth drives higher and higher, being well positioned in this is going to be incredibly powerful for us.

Today, when we started 40% were in premium or diversified, I'll call it, diversified and premium. Today, we're sitting 57%, 43%. And in the long-term, I think this is going to be 60% plus versus 40%. And why is this

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important? It is important for us to supply main cabin. Because main cabin is the entry point. If you think about that life cycle, people don't start in the front, they start in the back. And having best-in-class services in the main cabin, having price points that are accessible in the main cabin, because that's where you draw people in.

And then as you look at who they are and as you see who has the greatest opportunity here to become high lifetime value customers, using that information along the way to encourage them with the right products, the right offers at the right time to get them to do what you want them to do. To get them to download the app, to get them to join SkyMiles, to get them to buy the credit cards. And then use that as your leverage to continue to enhance their journey by bringing on more and more partners and more and more ways to use those miles in the future.

So I think we've made a lot of progress and a lot of people would say, oh, well, they're probably less ahead of you than is behind you. And I think the opposite. I think there's more ahead of us than what's behind us. So as I sit here on the eve of our 100th anniversary and look at the ability of us to take, make our 100th year ever our best year, our best year ever, which I think we will do. We will make our 100th year our best year ever. And excited about what's sitting beyond that. What's sitting in 5 years and 10 years? Because I think this brand is so well positioned. And it's so well positioned to continue to evolve and to continue to drive change and to continue to aspire to be better in the minds of our consumers.

And so that's a long journey. And so, I'd like to thank you all. Thank you for your time today. And I'd like to call up Dan.

Unverified Participant

Please welcome Executive Vice President and Chief Financial Officer, Dan Janki.

Daniel C. Janki

Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

Well, Glen, thank you very much. Welcome, everyone. It's a great morning to be with you here today. Really, you've heard the themes durable and differentiated – differentiated and durable. I want to put that the financial lens on that related to Delta's financial performance. Our financial framework as we go forward, and the three pillars go through them as it relates to value creation. And it is, as Glen said, it's an exciting time as we close out this year on a positive note. A lot of strength and you look into next year, we get to turn the calendar. We get to turn 100. And when you look out there, you see the differentiation, it's never been greater across Delta, whether it's on the commercial front, the operating front or the financial performance front.

And that's really a tribute to Ed, Glen, and the leader in this room that have been here for this past decade plus that had that commitment to that consistent strategy, that delivered that strong execution and that significant investment that went with it. It took rigor, took fortitude through times, but that's really what's built that capability and really has created that foundation for a structurally improved business and operating model and a financial model that goes with it. That has set the foundation for the outperformance as it relates to profitability, to cash and to returns over this period of time.

It was – for me, I've just been here just over three years and it was – we were turning – I was just in the first six months, when we were down there in New York City and down at the Stock Exchange and laying out three years. At that point in time, I was learning the industry. We were just crossing that point of being 60% rebuilt. And when you look over the last three years, what we've been able to accomplish really proud, the Delta team generated

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over $20 billion of operating cash. We've invested over $15 billion into the company, generated almost $6 billion of free cash flow. We built the unencumbered assets that $30 billion over that time.

We had the opportunity to initiate a dividend, to grow that dividend, and ultimately, achieve investment grade. And I think that speaks to the financial foundation we're on. We lead as it relates to return on invested capital. We're 5 points ahead of our weighted cost of capital, and we're in the upper half of the S&P 500 and we want to continue to grow that over time. Well, that differentiated performance, it's built on this foundation. This foundation of margin performance. And Delta has always had a focus on this and a heritage around leadership position as it relates to margins. We've extended that leadership position to the industry, 6 points here. And that is really built on those enduring competitive advantages.

It's a strong, trusted brand. It's a great level of service. The operational performance and capability. Its ability then to grow that loyalty and that premium, take advantage of that hub structure and network structure that we have. And that's really the point, where we think we have and believe we have the opportunity to differentiate as we continue to show that durability that is have created the foundation of a better financial model that we will over time be able to unlock additional value for our owners.

We do that through our three pillars. The first one, run the company for margins. Steady focus on margin improvement. This is the balance of driving that revenue premium with a competitive cost structure and focusing on the things that Delta controls to Delta specific opportunities to create that steady margin performance. That is pillar number one. Then you have pillar number two, where discipline as it relates to growth and capacity, GDP, GDP plus type growth, coupled that with margin expansion. That creates the foundation for 10% on average annual growth, and you're able to be disciplined about reinvestment, creates a foundation of $3 billion to $5 billion of free cash flow.

That then plays into the third pillar in the foundation of the one, which is fortify it's strength in the balance sheet from where we are today, go towards 1 times leverage. Take that gross debt down into from $26 billion today down into the low-teens. We've got a debt section has about $2 billion of maturities as we go forward. And it allows us to build those unencumbered assets over time. Those create the foundation. You execute against that where you can continue to return, increase that return on invested capital from where we are today, 13% to grow into 15% plus over that period of time.

So now I want to spend a little bit of time on each of the three of these. So first, where are we – where we're going as it relates to margin improvement, 11% going to mid-teens, a point of reference in 2017, 2018, 2019, we averaged about 14% over that period of time. I think Glen really talked about the key elements as it relates to the revenue premium and all the drivers that we have that are unique to Delta as it relates to driving that unit revenue premium over time and that revenue growth and diversifying that revenue.

I'll spend some more time on the next couple pages around competitive cost structure. How do we get more out of our existing investments, our existing assets? How do we generate efficiency? So that we can drive Delta specific improvement as it relates to margins. And then we also have the opportunity over this period of time to improve as the industry construct improves. And I think that would be most acute as it relates to opportunity around main cabin margins over time.

So costs, cost execution, focus on cost is foundational to margin and margin improvement. We've made good progress this year. We set out at the beginning of the year, where we said we want to be in low-single digits. We're executing against that. We want to build off of that as we go through this framework. We anticipate that our

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unit cost will be growing to low-single digits, while we continue to reinvest back into our workforce and into customer experience, while at the same time, growing at a lower rate than we did in 2024.

Three primary areas, where we can get that scale, efficiency and focus. The first, leverage our existing investments and assets. I'll go around the horn here. Fleet continue to grow utilization. We got 2 points of utilization from our existing fleet this year. We expect half our growth next year to come from increased utilization, mostly from getting the full flying of our regional fleet back by mid-summer and continuing to unlock mainline units as we've had units that either from elevated maintenance units or parked units over time, and we'll get continued benefit in 2026 related to that.

Network, where are we putting that growth? Over two-thirds of that growth is going into our low cost, most competitive core hub structures. These are low cost, high margin, not only in 2025, but also in 2026 and beyond, we have opportunities to continue to grow those at those rates. The third is the workforce. We've talked about this as we've gone through the year and execute against our plans this year on our earnings calls and other updates. We continue to grow the network. This year, we grew the network at 6% and our workforce grew less than 2%. That spread that you see there you can anticipate seeing that as we go through 2025 and again in 2026 as we continue to grow in to our resource base, we continue to build proficiency, and we continue to unlock efficiencies.

Glen talked about the airports, the generational rebuild that we have behind us, we're ahead of our competitors. That will be fully in our run rate as we go through 2025, and as Glen talked about, the most expensive days are the early days and not only over this framework period of three years to five years. But for decades to come, we have the opportunity to continue to grow capacity and capability and lower the effective cost on a per employment basis.

So that's around leveraging investments. The other category is normalizing maintenance expense. We've talked a lot this year about maintenance expense being up $350 million. Our teams have done a nice job executing against that. The operational reliability for maintenance has greatly improved. The investment we put in, we have maintenance cancels down over 75%, continue to build off that. And we're also been through and we talked about this, this period of high airframe checks contributed a significant amount of volume. Those start to normalize. You start to see the step down in 2025. We'll see it again in 2026 and as we go to 2027.

I think the other opportunity other than normalizing volume are twofold. First, just around proficiency, not only of the Delta team, but of the supply chain team. And a little bit like the workforce metric, the one we look at here is around turnaround times. And you look at turnaround times on engines, components and airframes. They're more stable this year than they were in previous years. They were going up and getting longer. They've been more stable. But we really have an opportunity as we look through the 2025 business plan and operating plan and look out in 2026, 2027. The progress that our teams can make along with our supplier in bringing those down. Those turnaround times in a lot of cases are up 50% and sometimes up 100% from their historical levels. And you'll continue to see a reversion to the mean.

And then the third part that we've talked about related to maintenance that we have in front of us is a consistent retirement of aircraft. This year is first year we're retiring aircraft of just over 20. So 757s, 767s, 320s. Our tech ops teams great about taking that material, not only ensuring that we then can be more reliable with the existing fleet feeding it back in, but also lowering our cost over time associated with that. So those are the benefits that you're going to continue to see as we go through this framework as it relates to maintenance normalization.

And then the last one is technology. And this one, Ed talked about, Glen talked about a piece as it relates to commercial. We've put significant investment in. We've been at this for 5 to 10 years in modernizing our

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infrastructure and capability of moving it to the cloud. And you're already starting yet to see the benefits this year as our teams work on an enterprise basis, our ability to deliver capability to market for our customers, our employees in an accelerated manner and more robust capability. And we're getting more out of our spend associated with this. And we're built. The industry is built for it, and especially, Delta is built for it, as it relates to the ability to drive greater efficiency across our operations as we go forward.

So those are the key pillars that allow us to continue to manage effectively to a competitive cost structure, while we continue to invest in our workforce and the customer experience and create the foundation for margin expansion. One part that I want to build off of that is around the disciplined approach to the fleet. You've heard components of it. Glen talked about 85% of our seats are premium seats as we grow going forward here. I mentioned fleet utilization both on the regionals and unlocking mainline. We're also continuing to get benefit from simplification and scale of our fleet.

We've been on this journey of going from 13 families to 7. We're at 10 today, but you're starting to see the scale benefit as it relates especially to our widebodies, the 330s to 350s and our three families of narrowbodies, where we get better commercial deployment in network related to them, but better operational performance behind it in efficiencies.

And then the last. As we continue to invest in the fleet around fuel efficiency, taking delivery as you go out through this framework, about 40 to 50 aircraft a year. We're consistently retiring anywhere between 20 and 30 based on our needs. And as you mix that, these new aircraft 25% more fuel efficient. And it drives 1 points to 2 points of fuel efficiency overall. So those are the Delta, specific opportunities in front of us as it create foundation for margin expansion and consistent and steady over time.

So, durability. Durability, durability, durability of earnings. Durability of cash flow. This is one that we believe that the last 10 years, 15 years of that consistent strategy has created the attributes and the foundation for it. It's something the industry hasn't been known for through the cycles and the volatility. And we believe that this is our opportunity to really differentiate as we go forward. And maybe just put a few finer points on it. A lot of times you can talk about growing revenue premium or SkyMiles members in a given year or three-year period. But one, when I just reflect on it and you think – and you've seen some of the stats there. But we – where were we in 2014 versus where are we today?

And just maybe a few of them, hub structures, hubs. Number one position, we're at four. Today, we're at eight and the ninth is a strong number two. Think about joint venture – global joint venture partners. In 2014, we were just initiating our second joint venture partner with Virgin, building off of the Air France, KLM, one. Today, we're at five. We're continuing to deepen the relationship and have a lot of growth in front of us as it relates to that. Think about SkyMiles members over that period of time almost doubled. SkyMiles members that are carrying a credit card more than doubled. The contribution from that partnership. Steve and Ed talk about last night went from one point – under $2 billion to going over $7 billion on its way to $10 billion.

Premium revenue, $10 billion or less in that period of time, going to over $20 billion and continue to grow. Those are the attributes of the structurally improved business model, provide stronger financial durability and where we think we have the opportunity to really differentiate with that and unlock value for our shareholders.

An important part of that, I was managing a strong balance sheet. So with that cash, continuing this progression of paying down gross debt, driving our leverage down to 1 times, building more than $40 billion of unencumbered assets and well-positioned to do this over this time period. And really, probably the time period about three years, I'd say, the midpoint of where we're at. And that should really significantly put us in a position. We've never had

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$40 billion of unencumbered assets with that low of gross debt. You're talking about annual maturities that are well under $2 billion. And think about changing the financial risk probably $40 billion of unencumbered assets. If you're in a cycle, you can raise $30 billion of secured financing behind that. Firepower that gives you to manage a cycle, but also through a cycle to extend those competitive advantages, continue to position the company for the next decade to come.

Ed hit this, an important part of this is capital allocation. We've been bounced around it. You see us consistently in reinvesting back into the company in high margin, high return. The short- to near-term here, we're going to be focused on continuing to reduce debt and driving towards that 1 times, a commitment to build off the dividend with a steady dividend increase over time. And as this plan lands out, it really allows for excess cash and ability of flexibility as we go forward.

And Delta's got a long history here, value creation. But we think this important part of delivering capital back to investors as you reduce that debt, you're changing the financial risk profile. Your investors benefiting from a greater percent of the enterprise value. You're lowering the equity volatility. You're lowering the beta and the financial risk of the company continuing to strengthen it as you go forward.

So with those elements of the pillars of value creation sets the foundation. As we go forward here on return on capital, do these, you do these well consistently allows you to grow your return on invested capital from 13%, we want to be 15%. Continuing to grow that spread to our weighted cost of capital and continue to do is to grow in the leadership position of the upper half of the S&P 500.

So I will close out, where Ed started. I couldn't be more optimistic about how we're positioned going forward. Really a position of strength, a position to win, and it's really around that consistent strategy, those enduring competitive advantages. They're delivered every day by a tremendous Delta team that does it so well. Operational reliability with the level of service that creates the foundation. That durability point that sets the phase for us to be uniquely differentiated as it relates to financial durability. Earnings, cash flow, incredibly strong balance sheet, flexibility around capital allocation, we believe that unlocks real value for our owners but also brings value to our customers and our employees.

So with that, I'd like to thank you. Going back to Julie. A quick break and then, we're going to come back for Q&A. So thank you very much.

[Break] (01:22:38-01:54:24)

Unverified Participant

Please welcome back to the stage, Ed, Glen and Dan for Q&A.

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QUESTION AND ANSWER SECTION

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Okay, Julie.

Julie Stewart
Vice President-Investor Relations & Corporate Development, Delta Air Lines, Inc.

A

All right. First question [indiscernible] (01:54:46)

Duane Pfennigwerth
Analyst, Evercore ISI

Q

Okay. Thanks. Thanks. It's Duane Pfennigwerth from Evercore ISI. Thanks for hosting the event today. Maybe start with Glen. Just with respect to 2025 plans, obviously, there's a lot of optimism around a better domestic backdrop for some good reasons. But I wonder, which you think will be the biggest driver next year? Is it more about kind of domestic optimism or international? And maybe you could weigh in on that both from a margin and a unit revenue growth perspective?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Sure. I'm excited about both. I'm excited about Transatlantic, which is going to have, we believe, one of its best if it's not, best winter IATA season ever. Revenues are really accelerating into January and February. Of course, most – the most dead time in the year for the transatlantic. And so, as we head into spring and summer with the capacity that's been announced out there, with the demand that we see, materializing the off-peak season, I think we're very encouraged about, where we'll be for summer IATA in the Transatlantic. Trans-Pacific, again, we're having some of our best margin years and continuing to grow that franchise. That's a little less seasonal than transatlantic.

And so we're encouraged by that. And really encouraged by our performance this year in the South Pacific, which of course, is contra-seasonal. There are new service to Brisbane, continuing service to Sydney, Auckland and Papeete, all doing quite well for the season. And then, South America where we've been making big investments over the last couple of years since we've announced the LATAM joint venture and really starting to put that – dial that more into a harvest mode than to an invest mode as we look to what our expectations are for 2025 and beyond. So really strong international, I think we see across the board.

And then, domestic. I think we're continuing our journey on the premium products. And I think the upside would be is, if the bottom end can fix itself. And we'll see how that plays out in the year.

Duane Pfennigwerth
Analyst, Evercore ISI

Q

Thanks. And maybe just for a follow up. With respect to the strength of the brand and the adjacent travel categories, is there a specific category, whether it's hotels or whether it's cruise? Is there a specific category where you see the biggest opportunity to bring other brands along?

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Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Yeah. I think we're in nascent times in that category. And I think, we're exploring. Quite honestly, the largest contributor right now is [ph] cars (01:57:28). Could there be stays over time? Could there be cruises over time? We really aren't even in the cruise business. We're just starting to get into that. And the continued growth of Delta Vacations and how we grow that internally, because that's one of the things that I didn't mention in the presentation, but a place where a lot of our customers are seeing huge value, where they can get mileage for their entire vacation as they plan through the Delta Vacation site and continuing to grow and make that more relevant over time. So I think we've got a lot of opportunities. It's a matter of focus. It's a matter of saying, where do we really see consumers wanting us to go with this. And we're going to follow their lead there.

Jamie N. Baker
Analyst, JPMorgan Securities LLC

Q

Hey. Good morning, Glen. Jamie Baker with JPMorgan. You talked a little bit about the potential to subdivide existing cabins. I was kind of hoping for more, but you emphasized that you're experimenting with things. Would you at least be able to identify the cabin that has the most potential for these efforts?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Well, I just think just by sheer volume and size, it would be domestic first/DPS.

Jamie N. Baker
Analyst, JPMorgan Securities LLC

Q

Okay.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

So that's where a huge revenue base is and segmentation of that revenue base would potentially drive a significant improvement to the bottom line. So, I think, yeah, we're experimenting and we're going to see what customers like, what they don't like, and we'll be bringing that to life and we're going to work from the – what I am committing to is, we're not starting from the top down, we're starting from the bottom up. So the first – we're halfway there in terms of the coach product, the main cabin product, we'll continue to enhance that in 2025 and look to introduce our first good, better, best trials in Comfort+ by the end of the year.

Jamie N. Baker
Analyst, JPMorgan Securities LLC

Q

Okay. And second, one of your largest domestic competitors believes that they inadvertently misplaced $1.5 billion of revenue. Would you characterize their efforts to recapture that as ongoing in earnest yet to begin completed? Doubtful. And what is Delta doing to – hang on to the share that at least one other entity believes belongs to them? Thanks.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

I think you'd have to ask them how they feel about their progress. I would say, what's exciting for us is that our share of corporate contracted revenue has never been higher. And so we're continuing to see strong demand,

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and really, post-election we saw another uptick which we expected in terms of the total corporate. It hasn't flown yet, but the bookings that are coming in. So we see a really robust setup for corporate in 2025.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

And Jamie, to be a little more specific, we didn't see like this big blip and then settle down. We've seen steady progressive in the high-single digits kind of continued way through the last couple of years. So for us, we know, we've picked up share, but it's not something that we're or we're saying make sure we want to hold onto everything, obviously, that we're doing.

Conor Cunningham
Analyst, Melius Research LLC

Q

Hi, everyone. Conor Cunningham, Melius research. Thank you for the day as well. You've done a great job of least relative performance of driving down seasonality in your business. But in the spirit of the whole theme today about durability, consistency, all that stuff, is there an opportunity still to help fix first quarter and fourth quarter relative to what you're doing in this – in the summer peaks? Is it more cost-driven, network-driven? We talked a lot about demographics changing. My guess is that there's an extension of, we're talking about the best winter timeframe in the transatlantic. But just any thoughts around what you could do to seasonality?

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

I'll just start real quickly and then I'll turn it to Glen because I think a lot of it is, what you said is the network. I think, we're going to have our best fourth quarter in history this quarter. So we've already got the fourth quarter checked, right? But that's, in fact, our fourth quarter, we will – we should earn on par with what we earned in the third quarter plus or minus, which never happened. So you already starting to see that seasonality, start to level out. You got other things like fuel and things that are also come into play. But the first quarter is, where we always spend the most amount of time and energy. And I remember pre-COVID, our goal was to get the first quarter better and then it was every month in the quarter. And we eventually got there and we're going to kind of take that same laser focus to the first quarter. Glen?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

I think, these are all long journeys. Everybody thinks you can snap your fingers and change who you are. But one of the real key drivers for this is going to be our ability to use our fleets more efficiently. And when we had a disparate fleet at the top end, so we had some 747s, we had some 777s, but we didn't have enough of anything. It was really hard to rotate them from summer to fall and get any kind of utilization. So we had huge differences in utilization on those small fleets, where we couldn't have enough of them in the summer and we couldn't have too few of them in the winter, and that created a huge disparity.

So now that we've got these fleets to scale, we're able to really flex them because we have basing in multiple places for the same airplanes. So we're able to get more out of them and fly the winter in a better position. And I think, that's been one of our drives with South Pacific. It's one of our drives to South America. Ultimately, it will also be India in the Middle East, which peak in the first quarter. So we're focused on that because we want to drive the utilization not super high in the summer and non-existent in the winter. We need to balance that out better and we know that to drive more efficient cost structure over the medium and the long-term.

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Conor Cunningham
Analyst, Melius Research LLC

Q

Great. And then, if we could – I think everyone in this room agrees that the high end consumer will hold up better during downturns. You have a lot of compelling slides with that data out there in terms of wealth creation and whatnot. But when you think, I mean, the premiumization and the consumer focus has still early stages, where we're even, you're only, I think, 30% mix on your fleet right now. Can you just talk about how you think about when a downturn does happen, how they change your overall profile of dips, in terms – again, back to the durability theme in general? Thank you.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

I think one of the most exciting things is, the many different ways you can get up there. And as I look at people's propensity to want to stay flying in these cabins and not want to downgrade themselves, these are also our highest balance customers in terms of SkyMiles. So I can buy the ticket in a downturn and then use my miles to upgrade. So we've made them so flexible that I think and we can change the value proposition. So if we want more usage of those premium products in a downturn and we see that there's ability to do that, we can get drive higher value through offers, and that's the right price to the right person at the right time throughout all parts of the cycle, I'm not just the up part. And I think that's where we're very excited. That's what we're trying to build.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

It's really interesting, Conor that the greatest growth we had in premium was during the time of the biggest economic collapse, which is COVID, because people valued the experience, they valued wellness, they moved upscale. And we leaned into it when we blocked those middle seats. And we continue to prioritize the care for customers. They remember that to this day. And I think one of the reasons why the premium strategy we've had is at the level we have is because how we treated them during COVID, the brand elevated. And that's going to be really hard to slow down. Yeah. We'll bump along. There will be a slowdown eventually. We know that. But we also know that the demand and the interest to be upfront and to be sitting in the seats with the various ways in which they can get there or pay for it, are like never before.

Scott H. Group
Analyst, Wolfe Research LLC

Q

Thanks. It's Scott Group from Wolfe. So maybe, Dan, a couple for you. The mid-teens margins target, how much of that is based on domestic main cabin getting better, which I guess, is more of a view of the industry? And then how much is growth in premium and loyalty that I guess, is a little less dependent on the industry overall?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah. As we talk about steady increase in margins, our focus is – as I went through are the things that we can control. Glen went through the opportunities as it relates to revenue premium. We can control the cost elements of that. And we believe we can steadily increase margins on Delta specific items. And we do know that as I mentioned on the slide that main cabin is the least restored from historical level. So there's an opportunity there. If the industry were to get better, we would benefit from that. But that's not as we think about it. We're counting on things that we can control.

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Scott H. Group
Analyst, Wolfe Research LLC

Q

Okay.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

But at the same time, it's clear that if the industry does implement the self-help they've all announced that they're implementing, it's going to rise and we'll all...

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah. We'll benefit. Yeah.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Yeah. Then we'll all benefit from that.

Scott H. Group
Analyst, Wolfe Research LLC

Q

Maybe just to that point, as we think about the supply/demand backdrop for next year, right, you've talked about 10% on average, right? Is there a reason to think next year should be any better or worse than that? And then can you just say how much of the long-term cash flow guidance, what you're assuming for cash taxes, just because that could change with the administration?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah. Let me start off. I'll take the cash taxes first. Over – in our operating cash flow of that $9 billion to $11 billion, it assumes that we start to step into being a cash taxpayer. We expect we'd be in the low-single digits next year. And as we move to 2027, we'd be a full cash taxpayer. That's based on legislation today. Okay. If that were to change, we would see a benefit from that.

Q

[indiscernible] (02:07:26)

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

On capacity?

Q

[indiscernible] (02:07:32) you talked about.

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Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Not trying to give next year's guidance, right? This is a framework through – 10% is through the next three to five years as we see it over time. There's going to be some years that are better. There could be some years that are below that. The setup from where we sit today feels pretty good.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Yeah. Listen, arguably we think about the long-term. There's no question the near ends is a lot better than what we can predict in 2029. So you can draw your own inference from that.

Sheila Kahyaoglu
Analyst, Jefferies LLC

Q

Right here. Sorry. Sheila Kahyaoglu at Jeffries. Glen, I'll start with you, if that's okay. You talked about 60% premium and loyalty revenues all over the long-term of 57% today. Maybe if you could give us a little bit more, like Jamie, I wanted a little bit more on the segmentation. And as you start younger – in terms of younger generations, how do you think about that 60% growing in terms of what percentage it could ultimately come up to?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

So I think the slide is 60-plus percent. And I think since we're sitting at 57%, that doesn't seem too aspirational given the track that we're on today. We should pass 60% in the next year or two here. And I think the answer is, why at 60-plus percent is we're working on what that is. We're working on how you get that to be even more weighted towards the premium products without losing focus on the fact that you need to bring people into the ecosystem early and they don't start there.

So we have to balance that as if we could say, oh, we want to be just a premium carrier. But then you have the issue of where do people get into your ecosystem. And so I think our ability to have price points that are the masses with a highest quality product is really important for us to keep our focus on while we're continuing to grow.

And clearly, as we get to $10 billion on the card spend, as we get – we have all the building blocks to go beyond the 60%. And the question is, how much do you want to be reliant on that versus how much do you want to have for essentially the entry point places? And what we've proven in this part of the cycle, which I think is really important to keep your – to keep our focus on is that the industry, the bottom half of the industry is struggling and we're thriving. And not to lose focus that that's an important part of the segment and we can't abandon it.

Sheila Kahyaoglu
Analyst, Jefferies LLC

Q

Dan, one for you, if that's okay, in terms of your 1 times leverage target, $26 billion of gross debt today going down to mid-teens would suggest about $12 billion of debt pay down, which is 30% higher than I think most people have in their model. So why for debt prior – debt pay down prioritization when we've seen two other airlines come out with share repurchases?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

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It goes back to the themes on durability and differentiated. We think that this is one that we want to lower the financial and enterprise risk associated with debt. The best way to do that is take down the absolute debt. It takes it down actually to the low teens, under $2 billion of maturity in any given year. And you've got a lot of firepower as it relates to unencumbered assets that you can weather any storm in this. Industry has shown that it will throw you a gut punch when you don't expect it. And you always want to be prepared for that. You never want to be in a position, where you have to issue equity in one of those cycles. It's the most value destruction that you can do. And we really believe that this framework takes that off the table for our investors, lowers the risk, and will unlock value over time.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Yeah. There's a question, Sheila, for all of us is, how do we rerate, right? And there's various ways to get there. We believe taking that risk down is going to be the surest path to having investors put more confidence in their ability to predict the future outcomes for Delta. And it is a differentiator because there's no other airline out there talking about this. There's no other airline possible that can do this other than Delta.

Ravi Shanker
Analyst, Morgan Stanley & Co. LLC

Q

Thank you. Ravi Shanker, Morgan Stanley. Maybe starting with you, Glen. If a – first of all, thank you for all the data today. But do you have data on why – if a customer is on a website like trying to buy a flight, and they end up not buying a Delta flight, what's the primary driver of that? Is it primarily price or do customers still have perceptions of like other brands are better and kind of how do you convert that over time?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

I think we would call that shopping, right? Is that customers – and I think the way shopping has evolved is really an interesting side note to this is that it used to be that customers didn't need to shop because they thought they could go to one of the OTAs and they would get the matrix answers that showed them everybody. And – but that was commoditized, right? And so this de-commoditization has made them realize that they have to go shop and look more at what their competitors and you can say a lot about Americans, but one of the things we are really amazing at is shopping.

And so seeing value and turning that into – converting that into a sale is really important for us and we monitor that every day. We monitor conversion rates and track them and then target – retargeting and try and understand why they didn't, but most of it is because they're shopping. They're not ready to commit yet, and when they're ready to commit then, of course, price, if they don't find the right price, but there's a lot that goes into that decision.

Ravi Shanker
Analyst, Morgan Stanley & Co. LLC

Q

Understood. Thanks for that. And maybe follow up to Dan, is mid-teens a stable kind of settling point for margins? Like would that even be a high watermark or do you think kind of beyond this three year horizon, you can push to even higher than that?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

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When you look back at – and reflect on where we grew them to over the last decade, being on average 14% over that period of time, I think, aspiring to be north of that in mid-teens is given how much the business continues to improve and has structurally improved over the last five years continues to be a good point.

And those will – we're giving you through a cycle view. So just like on earnings, you could be some years slightly ahead of it, some years slightly below it, you will have some variation around it. But we think that is a really good destination based on our business strategy and the financial model underneath it.

Brandon R. Oglenski
Analyst, Barclays Capital, Inc.

Q

Yeah. Good morning. Ed and team, thank you for hosting us here. Brandon Oglenski from Barclays. So maybe sticking along the margins discussion here, Dan, because I think if we go back three years, you actually did hit most of your earnings targets, which I think at the time investors didn't give you a lot of credit for. But now you guys are talking about how do you [ph] re-rate (02:14:20) over time. Obviously, the market today with a very low valuation says, it's probably not durable, it's not sustainable earnings levels for you and your competitors. So, when you want to look out three years from now, what are you going to be more flexible in that plan to deal with maybe higher inflation, which I think was the cause of missing margin targets last time? How do we ensure that three years from now you're going to be hitting that mid-teens margin level?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah. I think if you reflect back a lot, we didn't know at that period of time. I think as you think what has transpired through those three years, the biggest element of it was the amount of labor reset of going to market and what a step function change that was not only for Delta but for the industry. And that was not only about the direct labor, but it was about the entire supply chain. I think that's what the industry is struggling to get to. I think the benefit for Delta was we were able to offset a lot of that with demand and with unit pricing. But I would say if you go back, I think that and the pace of restoration, really the two biggest ones. So for us, that's – I think that kind of gives us the confidence in regards to where we're going to go.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

And overall utilization, Dan talked about it in his presentation. It's not just the fleet and the assets which we know we have significant opportunity to improve still, it's labor. We are still well above our labor levels from that period, back in 2018, 2019 timeframe as we still have – we have a young team and we're going to continue to be able to drive enhanced utilization, making better use of labor now that we're on the other side in a place of more stability and more durability. But I think, there's opportunities all over [ph] in the fuel (02:16:11) prices, right, fuel prices. As it enters into the equation, what's going to happen to fuel prices? I think you're going to – it's going to be interesting, there's probably as much opportunity for that still further upside as downside there. So I think, we've got boxed in some of the key variables. But I think we're going to look for a period of better stability overall than what we've been through.

Brandon R. Oglenski
Analyst, Barclays Capital, Inc.

Q

Appreciate that. And maybe a quick follow-up for Glen, because you did talk about AI pricing model. And I think you said you're pricing 1% of the network today. Can you just maybe expand on that because it seems very innovative relative to where maybe where the industry has been?

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Glen William Hauenstein
President, Delta Air Lines, Inc.

A

We're in test phase to roll out in a much more significant way throughout the year here. And it's going to involve a reengineering of how we work. It's going to involve a reengineering of how our systems talk to each other. And like anything, the AI is only as good as the data that it's receiving. So we're really working to make sure that that's as clean as it can be and it's giving us the right results.

We are very, very encouraged and I said this in the speech. But I want to explain. Right now, it's taking the role of a super analyst, it's making decisions and recommendations based on working 24/7 to try and figure out what price points you can hold. And I think, it's maybe even more important for Delta than other carriers because of the strength of our brand. We don't really know where our brand strength in any individual market is maximized. So generally, we match our competitors' fares and they may or may not be available. But if we take small increments and say to Tokyo, could we take a $20 increase in our fares and not see a decline in market share? Could we take a $40? It's doing that real-time now.

And so, our ability to continue to roll that out in a very measured way because it could also backfire on you and could be very dangerous, garbage in, garbage out, kind of thing. And so, being very deliberate about the rollout, being very deliberate about the inputs and the processes and being very deliberate on monitoring the actual results versus the beta, the test. And we've been really, really encouraged. And so, we're continuing to try and accelerate that, but not do it in a way where we put too much revenue at risk at any individual time.

David Vernon
Analyst, Bernstein Institutional Services LLC

Q

Hi. David Vernon for Bernstein. I want to come back to the topic of the buyback just real quickly, Dan. As you think about $12 billion of debt pay down relatively low cost debt, already a large unencumbered asset base that's about 30% of your market cap today. As you think about getting to where you want to go, if you start instituting a buyback in a couple of years, that's going to be more expensive, it's going to be a little bit less beneficial for shareholders. So how are you guys thinking about responding to market moves during this period of time? Are you set on getting to the one times leverage or is there room for you to be maybe more opportunistic depending on how things work out?

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

I don't want to put Dan in the catbird seat tonight. Listen, we always are sensitive to our owners. And we will look at it. But our overwhelming priority is to pay down debt. And we'll keep you posted as to we always watch what the stock price is. We watch what the other opportunities for that capital is. But in the near-term, we really want to get our leverage down. We just came through a pretty traumatic period. Delta by the way, as many of you know, was the only airline that did not dilute its shareholders. And so, a lot of the buybacks [ph] you're seeing analysis (02:19:43) buying back stock that they sold previously [ph] or raised (02:19:50) previously. So, we feel pretty confident this is the right strategy for the next couple of years.

David Vernon
Analyst, Bernstein Institutional Services LLC

Q

All right. Thank you. And then maybe just as a quick follow-up, you know as you're ...

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Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

... I'm looking at my chairman here and I'm saying that.

David Vernon
Analyst, Bernstein Institutional Services LLC

Q

As you think about the opportunities that are going to be presented to you, right? The large part of domestic capacity is not earning re-investable margin. They're going to have to push fares up. You're going to have opportunities at a higher margin to be making decisions about do you grow, do you take margin. How do you think about navigating that balance just given the unique position that you're going to be, in terms of dictating growth or price relative to your competitors, who are kind of more focused into the latter half of that strategic choice? Thanks.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Well, I didn't. It was on my dot points that I was supposed to hit. So, this is a great opportunity for you to say, what I missed in my presentation is, we intend to grow three to four next year. And that's probably in line with what we think demand set is and we assume that our unit revenues are going to grow in excess of that mid-single digits. We're about durable. We're not about trying to catch a piece of a cycle. We're about long-term investments. And when I say long-term investments, it's not only the airports but the individual markets that we choose. We don't want to be in and out. We're about reliability, we're about dependability, we're about people counting on us.

And I think, one of the things that we don't talk about is not only when you think about the U/LCC model the density of our models, in terms of the number of times you can come back or get out and back, it's really, that's where scale helps you. And so, we want to be very deliberate about how we grow. We want to be very deliberate about ensuring that what we put in market is durable, that it's durable not only in the upcycle but in the down cycle. And so, we'll be very, very judicious about how we put capacity in.

Savanthi Syth
Analyst, Raymond James & Associates, Inc.

Q

Hey. Savi Syth from Raymond James. Your execution on costs actually has been somewhat surprisingly good, given that a lot of the kind of volatility is still there, especially on the kind of supply chain, MRO side of things. And with your -just I am wondering, if you can talk about the engines and GTF [ph] as you're not (02:22:08) staying on wing and how you see that impacting you. And then the part that we didn't talk about today was that MRO opportunity, which is another great – high margin growth opportunity that's still ahead of you. Just when do we get to that, given what you're seeing today in this environment?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

I think on cost – I'll start with cost and the execution and it's just really a tribute to Ed in regards to how he pushed us as a team was to always prioritize putting the resources in, to deliver the operation over managing cost as we were rebuilding the airline. And as we got to that stage, I think now we settled into that normalization period that we started talking about at the end of last year. And we've been able to execute against that and you're starting to see that benefit. And I think you'll continue to see that as we go forward. As it relates to the Turbofan and Pratt, I think part of it starts with just the relationship that we have and how significant we are with them and how we get prioritized in that relationship. It still has impacted us when we look at aircraft and we have parked – temporarily parked because of engine issues, predominately Pratt, but they're not the only one.

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It's about [ph] 15 (02:23:16) we've been averaging on average. And – but I also think it's a testament to the deep capability that we have within the Delta TechOps team. And the ability of that team to work closely with those partners hand in glove, whether it's on airframes, whether it's on components, whether it's on engines. And actually in many cases supplement some of their engineering capability or operational capability that allows us to manage more effectively through it and also get greater transparency to it. And Glen and the team have been pushing us to see 12 months and 18 months out so that we understand these items. And if you have time, you can better manage them.

So maybe then shifting to MRO, as we've rebuilt the airline, we've prioritized Delta and Delta's customers and Delta's operation. That has been at the cost of growing our third-party capability. But now, we're in a place where we're more balanced around that. And I think, as you see us go into 2025 and beyond, you'll start to see that growth start to happen. And I think, we feel as you look out at the long-term of third-party services, how we're positioned on the next generation and also have deep capability with legacy capability, we're uniquely positioned and our long-term aspirations haven't changed around that.

Savanthi Syth
Analyst, Raymond James & Associates, Inc.

Q

Thank you for that. And then if I can ask, Glen, you talked about seasonality kind of coming back, with people kind of having to go back into the office. I was curious, if you have any, now that we've seen a little bit more normalization from a corporate standpoint. Are we going to see a couple of years of higher than normal growth? Is this normal growth? And is there any changes in the buying patterns of that corporate customer?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Corporate has been buying a little bit further out than they had historically. So, we'll see. I think that's been coming back particularly. But we'll see really what happens post-election. We're only a few days into this and we've seen some very dramatic uptick, not dramatic, but very significant uptick in corporate sales in the post-election environment. This is not unique. It happened back in the last election.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

In 2016.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

In 2016. So not unexpected on our part. But I think very welcome. And then we look at our surveys and we see that 85% or more think that they will be spending more in 2025 than they did in 2024. Those are near historic highs. So I think 2025 is shaping up, it's going to be a very, very solid year for corporate demand.

Andrew G. Didora
Analyst, BofA Securities, Inc.

Q

Hi. Good morning. Andrew Didora at Bank of America. Ed you and the team have done a great job speaking about how you've gotten to your competitive advantages today, largely built by the 15-plus years of investment that you've made. When you think about the next three to five year plan and the 50% of operating cash flow reinvesting in growth. How much of that should we think about being fleet growth? And then, more importantly,

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given the success you've had on the non-aircraft CapEx side, can that be a bigger portion of your investment spend going forward?

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Yeah. Well, thank you, Andrew. Majority will be fleet. There's no question that we have a pretty significant upgrade that we're in the process of on the international fleet. International I think is going to be the continued area of growth, outsized relative to domestic. And that's where we're going to be leaning into, not just growth, but actually the quality of the existing fleet that we have there internationally. Most of our airports are largely done. There's always something that we're doing [ph] but if we're (02:26:58) going to continue to add lounges. But the big airport investments are behind us. A very big technology investment which was going to the cloud is behind us, that probably was a $500 million investment we made over the last three years, three to four years, that's behind us.

We have some dry powder to think about whether it's the investments in MRO, investments – we made an investment in Wheels Up a year ago to see [ph] but they're (02:27:25) going to be a little discrete. I wouldn't look on the international board and say there's a big lurking decision to be made. We're pretty much happy with where we sit internationally. So to the extent we have more powder to continue to pay down debt and eventually return to shareholders, we're open to that.

Andrew G. Didora
Analyst, BofA Securities, Inc.

Q

Great. And then just I'll follow-up to that, when I think about on the 2025 capacity growth of 3% to 4%, shall I assume that's a pretty good baseline over the next three to five year plan? When we think about that 3% to 4% growth, how do you think about domestic versus international capacity in that construct?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

I think it is a – as good as any point to put on the map for the next three to five years. And I would say probably slightly more heavily weighted towards international growth. But not dramatically, so maybe 60/40 or 55/45, somewhere in that category. The other thing, I think that we didn't – we've talked about it for so many years and it's really not – we haven't done it yet, is to rebuild our interior US hubs. So Atlanta for example, which pre-pandemic during peak summer season was right around 1 million seats a week, flowing through Atlanta on Delta, which made it the largest hub in the history of aviation, it's been down in the 800s to 900s.

This year we'll finally get it back over 1 million seats a week. And it will be – this summer schedule in Atlanta will be the first one since, it will be bigger than 2019, it will be a new record for the number. But driving that connectivity, driving that efficiency is a real hallmark of where we've got to do that. And while we have Atlanta and Salt Lake now more than fully rebuilt, we're still working on Minneapolis and Detroit, which will come later in the year and into 2026.

Michael Linenberg
Analyst, Deutsche Bank Securities, Inc.

Q

Mike Linenberg, Deutsche Bank. Really a question to the team about sort of fleet needs and sort of where you are on re-fleeting. Do you feel like that you're locked down given the fact that we look at the OEMs and we realize that, we're probably going to be in a scarcity situation by the end of this decade. And as an add on to that, when you think about the MAX, the MAX 10 that you're planning to take delivery within the next few years, if there is a

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further delay or if it gets pushed back or your order superseded by somebody else, what is the backup plan on getting that narrowbody lift?

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

You want to take that?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah we – as you know, you can see it in the contractual deliveries we have 300 aircraft on order split between both narrowbody and widebody. So, well-positioned as it relates to our order book for the next decade. We have options both on the widebody and on the neo, neo 70 options, the widebody 20, that we can decide on widebody what variant that we take. So, I think we're well-positioned, we will have to continue to see where Boeing progresses related to the MAX, we don't have that in our near-term fleet plan for the next couple of years. We'll see the progress that they've made. But I think, where we're positioned on that, we have flexibility around that and how we could manage that.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

And we have options within that contract ...

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

... yes.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

with Boeing, if the [ph] 10 isn't (02:30:40) produced or we have to revisit other product. You're also going to see us potentially extend lives on whether it's a 75s or 73s, 738s. We have the capability to do that. And we've been able to do that over time and that could also be part of the mix here, too.

Michael Linenberg
Analyst, Deutsche Bank Securities, Inc.

Q

Great. And then just my second question, Glen, back when you were talking about the technology on the pricing front, I sort of feel like the Holy Grail on supply and demand is sort of meeting each and every individual's personal demand curve. And I kind of got the sense that you were sort of going down that path with some of the new technology. Compare and contrast that with continuous pricing, right. We had a non-US carrier, I think a week ago or two weeks ago announced that they're going to launch continuous pricing. Is that what that really is or is this slightly different? Thank you.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

I think continuous pricing is certainly an element. And we will get to continuous pricing in the next three to five years. Again I think this is something that you don't want to be on the front end of, you want to be as – you want to meet people where they want to be met. And I think right now, defining what continuous pricing is is really important. And we're working in our models for our AI solutions to understand what that is.

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But yeah, I think the answer, the Holy Grail, is to get you the right offer in your hand at the right time. And somebody asked about conversion rates. That's what really pushes conversion rates up. And the termination of your shopping experience is your purchase. And so, if we can get that more efficiently to you and understand if you didn't – why you didn't and if we are interested then remarket to you, and that will all be enabled in the medium to long-term.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.
A

Yeah. We think there's real opportunity, obviously, Mike. And I mentioned it's a bit of a throwaway comment, but your Net Promoter Score, we trust the numbers, is that meaningful. That much higher than your revenue premium, by definition, there's opportunity there. And so, we think it's going to be fertile, when we figure out the best way to secure it.

Stephen Darrell Trent
Analyst, Citigroup Global Markets, Inc.
Q

Good morning, gentlemen. Steve Trent from Citi. Thank you very much for the presentation. I wanted to ask about, how you're thinking about fuel, sort of holistically from a hedging perspective, 2009 you guys synthetically hedged, I believe. Today, you're not hedging, but you have Trainer and now your premium is growing significantly. So when we think about how this looks long-term, how should we think about the puts and takes between you maximizing Trainer and having really strong growth and a premium when you think about fuel hedging? Thank you.

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.
A

We don't hedge fuel other than the operational hedge and we won't hedge fuel especially when ...

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.
A

... as long as I'm around.

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.
A

When Ed is around.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.
A

I've lost way too much money hedging fuel. So I swore off that drug a long time ago.

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.
A

Yeah, yeah.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.
A

I'm glad I did.

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Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

But as you mentioned, with the refinery, we have an operational hedge as it relates to refining margins and that – and certainty of supply into the Northeast. It meets all our needs into the Northeast and then it provides that operational hedge on that. And that's unique because you can't do that actually in the financial markets, and do it effectively associated with that. And it's served us really well over the last decade, especially over the last three years, as there's been so much dislocation, as it relates to the movement of refined product, and the ability of a lot of that refined product to come into the Northeast. So we're quite pleased about how the team's performing and where it sits.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Every time you're tempted to hedge fuel, you look at it and it goes lower, right? Or it goes up. You just can't – we can't pay it. We can't afford the cost of that insurance. And by the way, as owners, I think you want us more agile, responding real time, not sitting on a fuel hedge, thinking that we can kind of sit out a pricing move. Or you want us moving with the market and staying ahead of the market and having that agility and that flexibility as market facing is really valuable.

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

I agree. I agree.

Stephen Darrell Trent
Analyst, Citigroup Global Markets, Inc.

Q

No. Great color. And if I may follow up, my second question, maybe one for you, Glen. It was interesting to hear you mention how people start going to premium and they don't really go back, to what extent did your business see any premium passenger flow in 2019 go to the private jet side of the fence? And if so, to what degree have you seen them return to Delta first class or what have you?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

I think I'm going to let Ed handle this because I think our integration of Wheels Up is a really important opportunity for us to continue to think about what is our top end and where those customers sit. So...

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Yeah, we certainly saw some of that, Stephen, and we've seen them come back at the same time. In fact, in a – was one of the things that drove Wheels Up into some duress is because while a lot of people – the demand was pretty high during COVID. Once things started to stabilize, those customers came back to Delta or to other commercial providers. But I think the George Mattson's here somewhere running our Wheels Up, he's a year into the turnaround. We got some work to do, but eventually it's going to be our next step on our premium ladder.

No airline has ever been able to integrate commercial with a private opportunity. We have Delta people inside Wheels Up on loan, and learning about the business, and how we can schedule it, how we can price it, how we can operationalize it. We're the world's best at all that stuff. And while the market's different, the customer base is a little different. It's also something that's easy to get your arms around. In the next couple of years, I think you're

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going to see that asset grow meaningfully, and I think you're going to see a lot of value that we're creating, not just for our business, but potentially as owners.

Stephen Darrell Trent
Analyst, Citigroup Global Markets, Inc.

Q

Great. Thank you.

Catherine O'Brien
Analyst, Goldman Sachs & Co. LLC

Q

Hi. Catie O'Brien, Goldman Sachs. Thanks for having us today. On shareholder returns, Ed, I think, you mentioned that as you get closer to 1 times gross leverage you would consider shareholder – share buybacks of the dividend, maybe not necessarily all the way down to one. I guess, do you have a certain threshold you have in mind? And then on that, total realized that the EPS target of 10% growth, that's an average over the next couple of years. But does that envision shareholder returns or would that be incremental?

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Well, when we're sitting today at 2.7 times, I'm not thinking about it. When we have a one handle on it, we'll start to think about it. I'm not saying we're not going to start sort of thinking till we get to 1 times just 1.0 times. But the closer we get to it, of course, we think about it. We think about where the stock price is. We'll think about opportunities.

If there was a dip to occur at some point, would we have a shelf available to us at some point potentially? But no, I want to keep getting that debt paydown, and want to make certain that we're not reliant on a government or anyone else for our future outcomes, and we'll be probably only airline that can say that.

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah. And the 10% does not have us acquiring any shares in it. It does benefit from working that gross debt down. So your interest expense improves – continues to improve every year because of that.

Catherine O'Brien
Analyst, Goldman Sachs & Co. LLC

Q

Makes full sense. And then maybe just one more on American Express. Steve said last night that he doesn't want to ever get to an RFP process that stalls partnership. I think your current contract ends late 2028 or 2029. The last couple you've renegotiated several years in advance, is that something we should have in mind for the next couple of years? And then on that, for the next step of the contract, is it about Delta getting better economics and that's the upside? Or is it more about innovating together to get the billings and acquisitions higher?

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Well, I think the contract ends 2029?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

In 2029.

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Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

2029. And these are pretty complicated arrangements with a lot of money, a lot of value for both sides. So, it takes a while to work through. So, not yet, but over the next couple of years, we'll probably start that process.

Christopher Stathoulopoulos
Analyst, Susquehanna Financial Group LLLP

Q

Chris Stathoulopoulos, Susquehanna. Just, Glen, I want to dig in or better understand the inputs as we think about so margins here, going back to margins. On the domestic side, it sounds like it's more until this inventory of main here in the US, I guess, stabilizes. It's going to be more premium and loyalty led growing in your core hubs, low-risk growth as you said. On the other side of that, we do have the CASM ex heavy regional growth. Could you talk a little bit about how you see gauge and connectivity within the domestic side?

And then on the international piece, I think you said more balanced. Your last Investor Day, I believe there were some slides around that. And I think the focus was growing at your partner hub. So – but just kind of fill in some more the detail on the international side.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Sure.

Christopher Stathoulopoulos
Analyst, Susquehanna Financial Group LLLP

Q

Thank you.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Let me start with the international first. I think our biggest opportunity on premium products and services is in the international arena. That's where we are short on supply and high on demand. And so, continuing to satisfy those through the fleet up-gauge in the widebodies, the retirement of the 76s. They're bringing on of the A350s and the three A350-1000s which will occur in 2026. Those will really, I think, start to satisfy.

We've already committed to reconfiguring our existing A350-900s to a higher D1 configuration that will occur or it's occurring now, but it'll, I think, finalize over the next 18 months as we get those all to be standard, and improve the utilization of the fleet. So, I think international has more premium legs than domestic as we stood today. And I think getting those products and services that we've invested like Delta One will have a disproportionate impact because we have very few domestic Delta One seats.

So, most of those are geared towards improvement of the international fare structures over time. So, I think we have a huge runway on international, and it'll be not only driven by additional frequencies. What we've seen right now and for the foreseeable future is US point of origin is where it's at, and US point of origin, high-end leisure is where it's at. Germany, for example, is really struggling in terms of its corporate demand, and it's not a huge tourist destination. So really focusing on where people want to go today and using our partner hubs to get them there if we don't fly non-stop, and continuing to work on gauge internationally and product internationally.

Domestically, we're taking kind of a breather. Our long-term desire is to continue to grow gauge. But as we can start to retire some of the widebody – some of the largest narrowbody equipment we have, particularly the 757,

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which is starting its retirement phase this year, that's taking 199 seats out. And what we're replacing it with is 191 seat A321 or A – an A220-300, which is really the growth vehicle down at the bottom end of the spectrum at 130 seats.

And so, in the long run, we will continue our ascension of gauge domestically, but we're taking a breather here for the next couple of years. And it's going to be more based on shells than it will be on gauge domestically for the next two years to three years until we get the bulk of the 75s retired and really more towards the end of the five-year period.

Christopher Stathoulopoulos
Analyst, Susquehanna Financial Group LLLP

Q

Okay. As a follow-up, going back to the AI piece, So if I understand, it's – you said low single-digit, very small piece here, a lot of rigorous testing versus the beta set. What's really the sort – the gating factor to the next evolution here? Is it just accumulating data and letting the technology learn and mature? And then also, does the targets here contemplate a phase 2 or fuller unlocking of this at the system level? And I want to be clear that the testing you're doing, I think you mentioned some international O&D pairs. Is this localized to just select markets or you're running it holistically across system? Thank you.

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Right. Well, we have about 1% of our O&Ds in 1% of our revenue, and we're learning. One of the things we learned is that it does better if you give it an entire city rather than a market. So a market would be JFK, LA, but you need to give it all of a city, so you have to give it all of JFK, and it does better learning that way. So we're learning how it learns. We're learning how to manage it. And we don't really have, I would say, enough data yet to put that into our three- to five-year plan as, kind of, upside. I'd say it's − we believe that it has further upside to the numbers you saw today, but we're not counting on it because we have to see how it performs at scale. The other thing we have to see is we believe there's a first mover advantage, but we also believe that over time our competitors will all have this. And so, how much of that advantage gets diminished?

I think what I'm most excited about is the ability to hold pricing premiums based on your brand, which I talked about earlier is to say, and I'll give you an example. If we float a fair increase, that's $5 and we wait 24 hours to 48 hours, or 72 hours to see if the industry matches it. Very rarely do you see our bookings decline significantly. So inherently in your mind you think, oh my gosh, you can probably hold some nominal fare increase, those nominal fare increases add up.

And so if we could actually pinpoint where in each individual market we can the Delta brand, and it clearly in places like LaGuardia, Atlanta where, we have hourly service, we could probably hold more, connect markets where we're one of many, and we hold less. But understanding that dynamic and then putting that dynamic into the pricing environment, and leaving it there, and then, monitoring it on real time basis, if it's creating answers you don't like. I mean, the value of that is enormous and that's what I get really excited about.

Daniel McKenzie
Analyst, Seaport Global Securities LLC

Q

Yeah. Hey. Thanks so much, guys, for the presentation today. And I would love to continue that line of questioning. And my sense is the shift to AI and pricing is months away, not years away. So just to put a finer point on that, it sounds like that's not embedded into the – that upside is not embedded into the 2025 outlook at this point. Is that correct?

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Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Right. I don't think that we'll get to 100% ubiquity by the end of next year, I think it's going to take 18 months to 24 months, but it would be more than one. Will it be 20? Will it be 40? I mean, that's what I think we're trying to work on here to make sure that we don't. It could also – set to the wrong dials, it could be very destructive. And so, we want to make sure that we have all the dials set, and that we have all the processes in place before we put too much of the revenue of the company across.

Daniel McKenzie
Analyst, Seaport Global Securities LLC

Q

Okay. Thank you for that point. One second follow-up question here and this is really unpacking, putting a bow on some of the prior questions that were asked, and just putting a bow on 2025 growth. Corporate revenue's up high single digits. Corporate spend is up mid-single digits. Is that how we should think about that supply/demand dynamic? I sort of missed the corporate slide that you've had in prior years. And then as we kind of unpack that growth, what does that imply for mainline cabin or basic economy seat growth?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Well, I mean, generally, I'd say we're excited when basic economy offerings are shrinking because that means that the offerings that are sitting on top of them are greater. And I would say I would be disappointed in 2025 if we had more basic economy availability than we did in 2024 and that's being choked off by higher end demand and higher end demand is coming through corporate, but also high end leisure. And both of those segments are doing quite well right now.

Thomas Fitzgerald
Analyst, TD Cowen

Q

Hi. Tom Fitzgerald from TD Cowen, thanks so much for the time. Glen, you talked about having a really clean retail experience and not having – not overwhelming the consumer. How do you balance that with maybe the further segmentation and offering subcategories within your fare classes?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

So, I think if you said we have an a la carte, if you think about a restaurant maybe and a la carte menu and we've all been to – I grew up in New Jersey, so I've been to the diners in New Jersey in the 1970s and 1980s. The menus were immense. And it was such a hard time deciding what you were going to have. Am I going to go Italian. Am I going to go Greek? What am I going to have?

And I think our ability to distill that to things that are relevant to customers are having that menu have just a handful of SKUs rather than an infinite number of SKUs. And then, as we identify you and your purchase patterns, we can present you your array within the set or people like you, we've noticed you've never bought a basic economy. So here's your array. We're not even going to show it to you anymore because we know you don't want it. If you want to see it, click here.

But, really tailoring that menu to the customer and saying, oh, we know you love fish, here are our fish selections. And I think that's really an analogy to try and describe. We don't want the menu to be too big. We want it to be customized enough and just right with enough selections that you feel like you're being – your needs are being met. Not too many, not too little.

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Thomas Fitzgerald
Analyst, TD Cowen

Q

That's really helpful. And then just if I may, as a follow up. We talked a lot about technology on the revenue side. What are some of the things you're excited about on the operational front, helping your people do their jobs better, more efficiently, whether it's tech ops or other things that we should be thinking about? Thanks again.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

You want to try that, Dan?

Daniel C. Janki
Executive Vice President & Chief Financial Officer, Delta Air Lines, Inc.

A

Yeah, sure. What we do every day is operationally complex. We've been in a lot of businesses, and this is one that there's a lot of variables at play. And I think the more that you can provide analytics and decision made that – augment decision making for operators that help them make better decisions with real-time data. And when you look across it, you're going to see in regards to one is cruise, how do you best set a schedule? How do you then operate to the schedule based on where you want to fly, but also crew behavior, and getting best alignment because then you have rotations that are set that we want to be flown and they follow them efficiently and effectively and meet both crew's needs and the customers' needs.

And you bring that together. You can also see it in regards to how do you manage in an irregular operation. There's a lot of data that's coming at operators at that point in time where they put aircraft, how they bring them back, how do they bring crews back, how best to gate them with in an operation. And I think as we continue to bring our data together and those decision analytics, it augments our people's decision-making so that we can do that more effectively and that will necessarily drive efficiencies.

So, I think those are just some of the areas that you'll see it, see it again as it relates to customer care. You see it already in growing in the penetration, the types of capability that we can do. We can augment our customer care teams so that they can get to decisions faster, get a first time resolution, and get to decision making faster. So, you'll see it across our operation. We're really built for it and it will really augment what our teams do and allow them to do it more effectively.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

And given the fact that we've already now moved to the cloud, it's a big head start, so we can turn to – turn it. The only limiting factor is when we're ready to turn it on. We can turn it on now. We don't want to turn it on quite yet until we understand what it will be doing. So just like in revenue, we're going through the same process on the operating crew side, it's a three-year rollout in terms of where we're going, and we'll learn as we go, but it's all the numbers that you hear from Glen, have some big numbers attached to them, there's some big numbers attached to the operating side as well.

Julie Stewart
Vice President-Investor Relations & Corporate Development, Delta Air Lines, Inc.

A

Well, now take our final question for this session from Helane Becker.

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Helane Becker
Analyst, TD Cowen

Q

Thanks, Julie.

Edward Herman Bastian
Chief Executive Officer & Director, Delta Air Lines, Inc.

A

Appropriately so, yeah.

Helane Becker
Analyst, TD Cowen

Q

Thanks, team. Thanks for inviting me. It's nice to be here. Actually, this is my question. When you think about international, how do you think about international outbound versus international inbound? Because outbound has recovered and is well above pre-pandemic levels, but inbound is still down from where we were five years ago, A. And B, the US is not always a hospitable place...

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

Excuse me.

Helane Becker
Analyst, TD Cowen

Q

...for international. I hope you get a chance to recover from your cold. International – the US isn't always a hospitable place for people who aren't native English speakers. So I'm just kind of wondering how you balance it all out going, I don't know, the next year or so?

Glen William Hauenstein
President, Delta Air Lines, Inc.

A

So, I'm going to take a stab at that. And in an earlier response, I think I alluded to we are focused on high point of sale US outbound markets today. So Italy, Greece, Spain and Germany, higher German point of sale, corporate out. German economy as you know is not doing well. But in a longer or how should I say this is even in the medium and long term, fares, dollar-based US fares are significantly higher than and have been for the last 15 years or 20 years than European based fares. So we always have this natural bias to take US over a foreign point of sale. And that bias has gotten stronger and stronger as the dollar has continued to strengthen and as US spending power has really increased while European spending power in the US has diminished. So we've really re-changed our whole network and our network thinking of concentrate right now, and this will always change over time on high point of sale US, high point of sale, dollar-based, and the networks evolve to that.

Will it evolve again? Yes. And that's where I think we really need to count on our partners, because our partners have such a great counterbalance for that, and there are European hubs coming to the US. They're also looking for dollars too, because the fares are higher, but they're more naturally better positioned to take a higher point of sale US and then put that traffic on to Delta. So, it ebbs and it flows. This is about the most US point of origin centric, I think this airline's ever been, and probably the same for some of our competitors.

Julie Stewart
Vice President-Investor Relations & Corporate Development, Delta Air Lines, Inc.

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Okay. That will conclude the Q&A session. And for those of you online, thank you for joining us today. That concludes the webcast portion of the event.

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